

CABINET SECRETARIAT

(Cabinet Division)

Rawalpindi, the 8th October, 1977

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S. R. O. 945 (I)/77.—In exercise of the powers conferred by section 21 read with section 30 of the Abandoned Properties (Management) Act, 1975, the Federal Government is pleased to make the following rules, namely:—

1. Short title.—(1) These rules may be called the Abandoned Properties (Recovery of Arrears) Rules, 1977.

(2) These shall come in to force at once.

2. Definitions.—In these rules, unless the context otherwise require—

(a) 'Act' means the Abandoned Properties (Management) Act, 1975 ;

(b) 'Administrator' means the Administrator appointed under subsection (1) of section 5 of the Act and includes a Deputy Administrator;

- (c) 'Board' means the Board of Trustees constituted under section 4 of the Act ;
- (d) 'Defaulter' means any person who has made default in making payment of any amount, together with interest, if any, payable by him to the Administrator under the Act or under the rules, regulations or agreement made thereunder, and includes his legal representations ;
- (e) 'Execution' means any step taken for the recovery of any amount under these rules ;
- (f) 'Form' means form appended to these rules ;
- (g) 'Property' means movable or immovable property of the defaulter and includes goods, money, bank notes, cheques, bills of exchange, hundis, promissory notes, Government securities, bonds, other securities for money, debts, shares debentures, any share in the partnership business and save as hereinafter mentioned, all other saleable property, movable or immovable, belonging to the defaulter, or over which, or the profits of which, he has a disposing power which he may exercise for his own benefit, whether the same be held in the name of the defaulter or by another person intrust for him on his behalf :

Provided that the following particulars shall not be liable to attachment or sale under these Rules namely :—

- (i) the necessary wearing apparel, cooking vessels, beds and beddings of the defaulter, his wife and children; and ornaments, household effects and articles of personal use of value not more than Rs. 1000.
- (ii) tools of artisans, and, where the defaulter is an agriculturist, his implements of husbandry and such cattle and seed-grains as may, in the opinion of the Administrator, be necessary to enable him to earn his livelihood as such, and such portion of agricultural produce or any class of agricultural produce as may have been declared to be free from liability under any law in force for the time being ;
- (iii) houses and other buildings in rural areas (with the materials and the sites thereof and the land immediately appurtenant thereto and necessary for their enjoyment) belonging to an agriculturist and occupied by him ;
- (iv) a mere right to sue for damages ;
- (v) stipends and gratuities allowed to pensioners of the Government, or payable out of any service family pension fund notified in the official Gazette by the Federal Government or the Provincial Government in this behalf, and political pensions ;
- (vi) the wages of labourers and domestic servants, whether payable in money or in kind ;
- (vii) salary to the extent of first hundred rupees and one-half the remainder ;
- (viii) the pay and allowances of persons to whom the Pakistan Army Act, 1952 applies or all persons other than commissioned officers to whom the Naval Discipline Act as modified by the Pakistan Navy (Discipline) Act, 1934 applies ;

- (ix) all compulsory deposits and other sums in or derived from any fund to which the Provident Fund Act, 1925, for the time being applies in so far as they are declared by the said Act not to be liable to attachment ;
- (x) any allowance declared by any Pakistan law to be exempt from liability to attachment or sale in execution of decree ; and,
- (xi) where the defaulter is a person liable for payment of land revenue, any movable property which, under any law for the time being applicable to him, is exempt from sale for the recovery of an arrear of such revenue.

Explanation : " Salary " means the total monthly emoluments, excluding any allowance declared exempt from attachment under the provisions of any law for the time being in force, derived by a person from his employment whether on duty or on leave.

3. **Notice.**—(1) The Administrator may serve or cause to be served on the defaulter a notice requiring him to pay the amount due from him within such time as may be specified therein, intimating him at the same time as to what steps will be taken in case he failed to pay such amount.

(2) Where the Administrator is satisfied that the defaulter is likely to conceal, remove, transfer, or dispose of whole or any part of his property and the recovery of amount due from him is likely to be delayed or obstructed, he may, either simultaneously or at any time after the issue of the notice under sub-rule (1), direct the attachment of the whole or part of the such property of the defaulter.

4. **Mode of recovery.**—If the amount mentioned in the notice issued under rule 3 is not paid by the defaulter within the time specified therein or within such further time as the Administrator may grant in this behalf, the Administrator shall proceed to recover the amount by one or more of the following modes, namely :—

- (a) by attachment and sale of any property of the defaulter ;
- (b) by sale without attachment of any property of the defaulter ;
- (c) by appointing a receiver for the management of the property of the defaulter.

5. **Officer authorised to attach and sale the property.**—The attachment and sale or sale without attachment of the property and delivery of possession of the property shall be made by Administrator.

6. **Attachment of movable property.**—(1) Where the property to be attached is movable property in possession of the defaulter or any one on his behalf, the attachment shall be made by actual seizure and the Administrator shall keep or cause to be kept the attached property in the safe custody.

(2) Where the property seized under sub-rule (1) is subject to speedy and natural decay, or where the expenses of keeping it in custody are likely to exceed its value, the Administrator may sell it at once in the open market and notwithstanding anything contained in these rules, the sale so effected shall be absolute and a certificate in Form ' A ' shall be issued.

(3) Where the property is attached under sub-rule (1), the Administrator shall prepare an inventory of all items of the property so attached, specifying at the same time the place where such property shall be kept.

(4) The inventory prepared under sub-rule (3) shall be maintained in the office of the Administrator and a copy thereof shall be delivered free of cost to the defaulter or to other person from whose possession the property was taken after the attachment.

7. **Attachment of stocks, shares and debentures etc.**—Where the property to be attached is debts, or actionable claims stocks and shares, debentures or bonds, or other valuable security, such property shall be attached by an order prohibiting its transfer and such orders shall be addressed to the person in whose custody such property may be.

8. **Attachment of property in partnership.**—Where the property to be attached consists of interest of the defaulter who is a partner in a firm of partnership, the Administrator may make an order charging his share in the partnership business and property with the payment of the amount due from him and may, by the same or subsequent order appoint a receiver for the management of share of such partner in the partnership business and property.

9. **Entry into building etc. for effecting attachment and seizure of any movable property.**—(1) The Administrator may enter any building, place or premises and to effect entry into or exit from such building, place or premises such officer may, if circumstances so require, break open the inner or outer door or window thereof.

(2) Before effecting entry into any building, place or premises under sub-rule (1) the Administrator shall afford reasonable opportunity to any woman residing therein to withdraw from such building, place or premises.

10. **Attachment of immovable property.**—(1) Attachment of immovable property of the defaulter shall be made by an order prohibiting him from transferring or in any way encumbering the property described in the order.

(2) The order of attachment issued under sub-rule (1) shall be served on the defaulter personally and if personal service is not possible or the defaulter purposely avoids his personal service, a copy of such order shall be affixed at the outer door of his last known place of residence.

(3) The order of attachment shall be proclaimed near the property to be attached by beat of drum or any other customary mode and a copy of such order shall be affixed on or near a conspicuous part of such property and a copy of such notice shall also be displayed on the notice board outside the office of the Administrator.

(4) Where a notice has been served on a defaulter under rule 3 or where the attachment of his property has been ordered under this rule, he or anyone on his behalf, shall not sell, mortgage, lease or otherwise transfer or create a charge of any kind on any property belonging to him, whether under attachment or not, whether the same may be held in his name or by any other person in trust for him or on his behalf, except with the permission of the Administrator and any transfer made or charge created without such permission after such notice or the attachment of such property, as the case may be, shall be void.

11. **Sale of property**—The Administrator may direct the sale of any property of the defaulter, whether attached or not, or such portion thereof as may be necessary for the recovery of the amount due from the defaulter.

12. Proclamation of sale :—

- (1) Where the Administrator directs the sale of any property under rule 11, he shall issue a proclamation of the intended sale, specifying the date, time and place for the sale of such property. The proclamation shall also specify its location, description, annual income, if any, and the amount for the recovery of which it is to be sold.
- (2) The proclamation shall be published in at least one of the daily newspapers and shall also be displayed on the notice-board outside the office of the Administrator.
- (3) Where the property to be sold is an immovable property, the proclamation shall also be made at or near the property to be sold by beat of drum or other customary mode and a copy of the proclamation shall be affixed on or near a conspicuous part of such property.

13. Sale by public auction—The property directed to be sold under rule 12 shall be sold by public auction to the highest bidder in one or more lots as the Administrator may consider proper and if the amount due from the defaulter can, in the opinion of the Administrator, be recovered by sale of only a portion of such property, only a portion thereof as may be specified by him shall be sold :

Provided that where the property to be sold is a negotiable instrument or a share in a limited company the Administrator may, in his discretion, direct the sale of such instrument or share through a broker and dispense with the procedure under Rule 12.

(2) Notwithstanding anything contained in these Rules, the sale so effected through a broker shall be absolute and a certificate in Form A shall be issued.

14. Authority to bid and deposit of security :—

- (1) All persons bidding at the sale shall be required to declare if they are bidding on their own behalf or on behalf of their principals and in the latter case they shall be required to furnish their authority to act on behalf of their principals.
- (2) The Administrator shall require each prospective bidder to deposit with him such amount of security as he considers proper but in no case it shall be more than one-fifth of the approximate value of the property to be sold.

15. Sale of movable property by public auction :—

- (1) Where the property is sold by public auction and such property is movable property, the price of each lot sold shall be paid at the time of sale or soon thereafter and in case of default of such payment, the property shall forthwith be reaucted and the security deposit shall stand forfeited.
- (2) The acceptance of the highest bid shall be at the discretion of the Administrator.

16. Coins and currency notes—Where the property attached is current coins or currency notes, the Administrator may direct that such coins or notes or any part thereof may be paid to him or transferred to his account and such number of coins or notes which exceeds the amount due from the defaulter may be released.

17. Sale of immovable property.—(1) Where the property to be sold is immovable property of the defaulter it shall be sold by public auction to the highest bidder and the acceptance of the bid shall be at the direction of the Administrator.

(2) Where at a sale effected under sub-rule (1) a person is declared as a successful bidder or purchaser, he shall immediately after such declaration deposit 25 per cent of the amount of the total purchase money, inclusive of the amount which he has already deposited as a security, under sub-rule (1) of rule 14 with the Administrator and in default of such payment the property shall be resold.

(3) The remaining amount of the purchase money shall be payable by the auction purchaser on or before the 15th day from the date on which the property was auctioned.

(4) In case the auction purchaser fails to deposit 25 per cent of the purchase money under sub-rule (2) his security deposited under sub-rule (2) of rule 14 shall be forfeited and if he fails to deposit the remaining 75 per cent purchase money under sub-rule (3) his 25 per cent of the total purchase money deposited under sub-rule (2) shall unless the Administrator directs forfeiture of lesser amount, be forfeited to the Administrator and in both the cases the property shall be resold.

18. Application by defaulter and others for setting aside the sale.—(1) Where the property has been sold under these rules, the defaulter or any other person whose rights or interest in the property are affected by the sale, may within thirty days from the date of sale, make an application to the Administrator for setting aside the sale :

Provided that no such application shall be entertained from the defaulter unless he while making such application deposits with the Administrator an amount equal to the amount due from him together with interest at the rate of 12 per cent per annum calculated from the date of proclamation of sale to the date of such deposit and in addition thereto a sum equal to 14 per cent of purchase money for the auction purchaser.

(2) The Administrator may, after holding such enquiry as he may deem fit, accept or reject the application made under sub-rule (1) :

Provided that no such enquiry shall be held without notice to the auction purchaser.

19. Application by auction purchaser for setting aside the sale.—(1) At any time within 30 days from the date of sale, the auction purchaser may apply to the Administrator for setting aside the sale and return of the sale price on the ground that the defaulter had no saleable interest in the property or any part thereof.

(2) The Administrator may, after holding such enquiry as he may deem proper, accept or reject the application.

20. Purchase money to be returned to the purchaser.—(1) Where the sale of the property is set aside on an application made under rule 18 or 19, the auction purchaser shall be returned the purchase money and if the money is returned to him as a result of the acceptance of the application made under rule 18, the auction purchaser shall, in addition to the refund of all the purchase money, be also paid such portion of the amount deposited by the defaulter under sub-rule (1) of rule 18 for him as the Administrator may, after deducting the expenses incurred on the sale of such property, direct.

(2) Notwithstanding anything contained in sub-rule (1) where the sale has been absolute under Rule 6(2) and proviso to Rule 13, the person entitled to the property shall be returned the sale proceed.

21. Sale to become absolute and certificate to be issued.—(1) Where no application is made under rule 18 or 19 or an application made under these rules is rejected, the Administrator shall, if full amount of the purchase money has been paid or deposited, make an order confirming the sale and thereupon the sale shall become absolute and the Administrator shall issue a certificate in form 'A' to the auction purchaser.

(2) The certificate granted under sub-rule (1) shall constitute a valid document of title and shall confer on the auction purchaser the same rights in the property which the defaulter had therein before its sale.

22. Postponement of sale.—The Administrator or the Board may, for reasons to be recorded, postpone the sale of a property to any future date or indefinitely.

23. Receiver.—(1) Where the property is attached under these rules, the Administrator may, instead of directing its sale, appoint any person as receiver for managing such property.

(2) The receiver appointed under sub-rule (1), shall be competent to exercise all powers and perform all such functions with regard to the property under his management which the defaulter was competent to exercise or perform in relation to such property.

24. The receiver appointed under rule 23 shall—

- (a) Deposit such amount of security, if any, as the Administrator may deem fit to specify ;
- (b) submit such accounts at such interval in such manner as the Administrator may, by special or general order, direct ;
- (c) be responsible for any loss occasioned to the property under his management by his wilful default or gross negligence ; and
- (d) carry out such directions as the Administrator may, from time to time, issue.

25. For the services rendered, the receiver shall be paid such amount of remuneration as the Administrator may deem proper to fix.

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26. Where any person has furnished security for the payment of any amount due by the defaulter, he may be proceeded against under these rules as if he were the defaulter in case he or the defaulter fails to pay the amount within the time he undertook to pay such amount.

27. Receipt to be given.—If any amount is received by any officer or other person in pursuance of these rules, he shall issue a receipt of the amount so received.

28. Delivery of property in possession of defaulter.—Where the immovable property sold is in the possession of the defaulter or some person on his behalf

or some person claiming under a title created by the defaulter subsequent to the attachment or sale of such property and a certificate in respect thereof has been granted under rule 21, the Administrator shall, on the application of the auction purchaser, direct that auction purchaser or any person authorised by him in this behalf be delivered possession of the property and the possession of such property shall be so delivered.

29. **Delivery of property in occupancy of tenant.**—Where the immovable property sold is in the possession of a tenant or other person entitled to occupy the same and a certificate in respect thereof has been granted under rule 21, the Administrator shall, on the application of the auction purchaser, direct that possession of such property be delivered to the auction purchaser by affixing a copy of the certificate of sale on some conspicuous place of the property, and by proclaiming to the occupant by beat of drum or other customary mode, at some convenient place, that the interest of the defaulter has been transferred to the auction purchaser, and in compliance of such directions, the auction purchaser shall be given constructive possession accordingly.

30. **Disposal of proceeds of the property sold.**—Whenever the property of a defaulter is sold out of the proceeds of such property there shall, first of all, be deducted the expenses incurred in the execution, then there shall be paid to the Administrator the amount due from the defaulter and finally the balance, if any, shall be paid to the defaulter.

31. **Determination of controversial questions and appeal.**—(1) Subject to the provision of rule 18 and 19, at any stage, every question arising out of any proceedings taken under these rules shall be determined by the Administrator.

(2) Pending determination of the question, the Administrator may, upon such terms as to security or otherwise as he may deem fit, suspend the attachment or postpone the sale or pass other interim order as the circumstances justify.

(3) Any person aggrieved by an order passed by the Administrator under sub-rule (1) or (2) may, within 30 days from the day of such order, prefer an appeal to Board whose decision thereon shall be final.

32. **Prohibition against bidding or Purchase by officer.**—No officer or other person having any duty to perform regarding the sale of any property under these rules shall either, directly or indirectly, bid, acquire or attempt to acquire any interest in the property sold.

33. **Assistance by Police.**—The Administrator may require the officer incharge of the nearest police station to assist the officer making the attachment or conducting sale of the property of the defaulter or delivering possession of the property sold to the auction purchaser and such officer incharge shall render all necessary assistance.

34. **Power to delegate.**—The Administrator, with the previous permission of the Chairman of the Board, may delegate all or any of his powers and functions under these Rules to any officer of grade 17 and above subordinate to him or to Provincial or Federal Governments.

FORM 'A'

CERTIFICATE OF SALE OF MOVABLE/IMMOVABLE PROPERTY

Case No.....for claim of Rs.....
in respect of.....passed by the
(brief description of property)

Administrator/Deputy Administrator, Karachi/Rawalpindi, dated.....
.....

This is to certify that.....has
been declared the purchaser at a sale by public auction at open market through
broker the.....
day of.....19 , of the following property in execution
of the order dated.....in the above case,
and that the said sale has been duly confirmed.

Description of the movable immovable property.

Given under my hand and the seal of the Court, this.....
day of.....19 .

ADMINISTRATOR.